

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 708

BY BUSINESS COMMITTEE

AN ACT

RELATING TO THE HOMEOWNER'S ASSOCIATION ACT; AMENDING CHAPTER 32, TITLE 55, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 55-3204C, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING THE AUTOMATIC DISSOLUTION OF HOMEOWNER'S ASSOCIATIONS; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Chapter 32, Title 55, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW SECTION, to be known and designated as Section 55-3204C, Idaho Code, and to read as follows:

55-3204C. AUTOMATIC DISSOLUTION OF HOMEOWNER'S ASSOCIATIONS. (1) Any homeowner's association that has been in existence for ten (10) years or more, pursuant to the date of filing of the articles of incorporation, as of July 1, 2026, shall automatically dissolve on July 1, 2029, unless its members vote against such dissolution pursuant to the provisions of this section. Any homeowner's association that has been in existence for less than ten (10) years as of July 1, 2026, or that is created after July 1, 2026, shall automatically dissolve after ten (10) years from the date of filing of the articles of incorporation unless its members vote against such dissolution pursuant to the provisions of this section.

(2) A homeowner's association shall hold a meeting of its membership before the automatic dissolution dates provided for in subsection (1) of this section to provide an opportunity for its members to vote against the automatic dissolution of the homeowner's association. A homeowner's association shall give notice to its members of the proposed meeting in accordance with the provisions of section 30-30-505, Idaho Code. The notice shall state that the purpose, or one (1) of the purposes, of the meeting is to consider the automatic dissolution of the homeowner's association and shall contain or be accompanied by a copy or summary of a plan of dissolution. Automatic dissolution of a homeowner's association shall not occur if a majority of the eligible voters vote against such automatic dissolution.

(3) Unless otherwise provided for in the declaration or governing documents, all common property, including common areas, limited common areas, other property or improvements owned or maintained by a homeowner's association, or property owned in common by the members of a homeowner's association shall remain dedicated to the common use of the members of the homeowner's association. The plan of dissolution shall provide for the disposition of the assets of a homeowner's association by transfer to a successor entity, the lot owners, or a local government.

(4) If members of a homeowner's association do not vote against the automatic dissolution of the homeowner's association, the homeowner's association shall dissolve pursuant to the plan of dissolution. If members of a

1 homeowner's association vote against the automatic dissolution of the home-
2 owner's association, the homeowner's association shall continue under the
3 same terms. Homeowner's associations shall automatically dissolve ten (10)
4 years after the date of the first successful vote against automatic disso-
5 lution. Automatic dissolution shall occur every ten (10) years thereafter
6 while a homeowner's association is in existence unless and until the members
7 fail to vote against such dissolution and the homeowner's association is au-
8 tomatically dissolved as provided in this section.

9 SECTION 2. An emergency existing therefor, which emergency is hereby
10 declared to exist, this act shall be in full force and effect on and after
11 July 1, 2026.